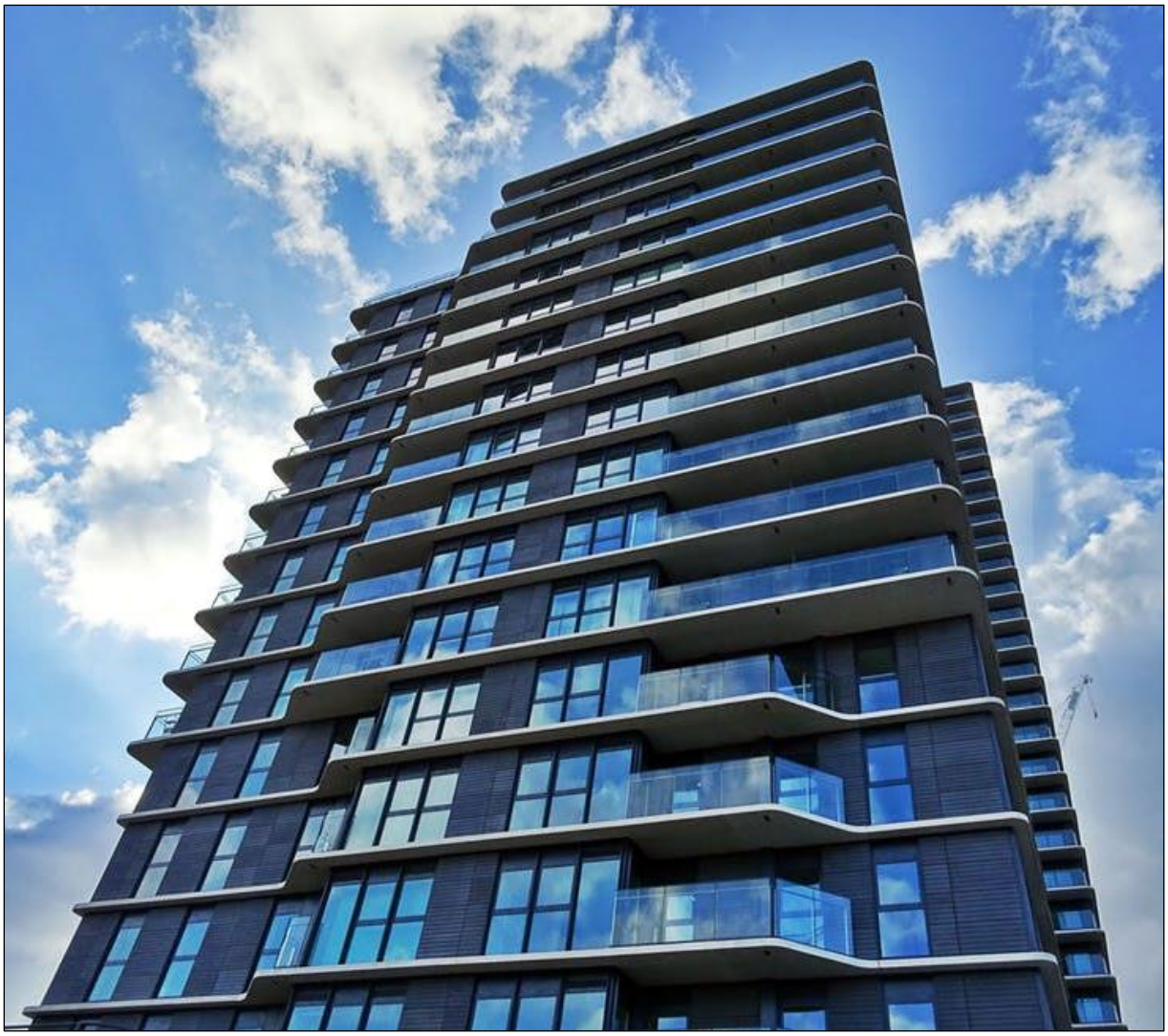
THE FOLES

Anycity, XX, USA



OFFERING MEMORANDUM

East Lang Ellis



East Lang Ellis

EXCLUSIVE ADVISORS

Trey Fishman
Managing Director
tfishman@eastlangellis.com
215.567.8999
Lic. 12546855

Edward McCready
Director
emccready@eastlangellis.com
215.567.5687
Lic. 12545555

Paige Gordon
Director
pgordon@eastlangellis.com
215.567.9028
Lic. 12436854

Stanley Lancaster
Associate
slancaster@eastlangellis.com
215.567.8902
Lic. 12000855

THE FOLES

Anycity, USA

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EXECUTIVE SUMMARY

THE FOLES

A WORLD CLASS
ONCE IN A GENERATION OFFERING

The Foles is a 300', 25-story high-rise with 325 luxury residences in the heart of Anytown's Center City district. Its location is central within the vibrant, mixed use downtown area and boasts impressive views. This Property is well positioned as a best-in-class asset.

The Foles is the latest Class A multifamily asset to be delivered in the Center City submarket and there is currently no additional multifamily high rises in the pipeline.

PROPERTY SUMMARY	
Number of Units	325
Residential Square Footage	257,000
Average SF Per Unit	790
Stories	25
Parking Spaces	200
Occupancy	95%
Average Rent	$2,432
Average Rent PSF	$3.08



ROOFTOP DECK VIEW

PROPERTY OVERVIEW



Physical Summary

PHYSICAL SUMMARY	
Completed	April 2016
Site Size (Acres)	0.855
Building Height	290’
Units	325
Gross Building Area	290,000
RSF	257,000
Average SF	790
Stories	25
Parking Spaces	200
Ceiling Heights	8’6” on levels 2-20; 9’ on levels 21-25
Washer/Dryer	In Unit
Patios/Balconies	Patios in select units
Construction Type	Type 1



Unit Mix

UNIT MIX							
	Units	% Units	Total RSF	% RSF	Ave SF	Ave Rent	$/RSF
Studio	48	15%	27,456	11%	572	$1,773	$3.10
1 Bed	130	40%	103,350	40%	795	$2,447	$3.08
2 Bed	114	35%	94,050	37%	825	$2,525	$3.06
3 Bed	33	10%	32,076	12%	972	$3,003	$3.09
Total/Ave	**325**	**100%**	**256,932**	**100%**	**790**	**$2,431**	**$3.08**

Stacking Plan

STACKING PLAN						
Floor	Studio	1 Bed	2 Bed	3 Bed	Total Units	Total Net Rentable SF
Floor 25	0	4	6	2	12	10,074
Floor 24	0	4	6	2	12	10,074
Floor 23	0	4	6	2	12	10,074
Floor 22	0	4	6	2	12	10,074
Floor 21	0	4	6	2	12	10,074
Floor 20	1	1	3	2	7	5,786
Floor 19	2	6	3	2	13	10,333
Floor 18	2	6	3	2	13	10,333
Floor 17	2	6	3	2	13	10,333
Floor 16	1	7	4	1	13	10,409
Floor 15	2	7	4	1	14	10,981
Floor 14	2	7	4	1	14	10,981
Floor 13	2	7	4	1	14	10,981
Floor 12	2	7	4	1	14	10,981
Floor 11	4	6	4	1	15	11,330
Floor 10	3	1	5	1	10	7,608
Floor 9	3	6	5	1	15	11,583
Floor 8	3	6	5	1	15	11,583
Floor 7	3	6	5	1	15	11,583
Floor 6	3	6	5	1	15	11,583
Floor 5	3	6	6	1	16	12,408
Floor 4	4	6	5	1	16	12,155
Floor 3	3	6	6	1	16	12,408
Floor 2	3	7	6	1	17	13,203
Floor 1						
Total	48	130	114	33	325	256,932

Amenities

UNIT AMENITIES

- Washer/Dryer in Unit
- Recessed lighting
- Walk-in closets*
- Soaking tub*
- Dishwashers
- Balconies*
- USB charging outlets

PROPERTY AMENITIES

- 2 indoor swimming pools: lap pool with diving board and recreational pool
- Rooftop deck with gas grills
- Fitness center with yoga studio
- Coffee bar
- Billiards and ping pong room
- Catering kitchen





UNDERWRITING

HISTORICAL OPERATING STATEMENTS

Period	2016 (April - Dec)	2017	T12 Oct. '18
REVENUE			
Rental Revenue			
Market Rent	4,081,466	9,370,461	9,557,870
Loss-to-Lease	(36,733)	(112,446)	(191,157)
Actual Vacancy & Credit Loss	(152,375)	(376,234)	(477,894)
Concessions	(464,599)	(403,591)	(412,900)
Total Rental Revenue	3,427,758	8,478,191	8,475,919
Other Income			
RUBS	103,546	235,271	234,000
Other Income	61,779	132,615	136,220
Storage Income	82,030	166,663	171,000
Parking Income	161,190	315,949	324,000
Total Other Income	408,546	849,893	865,220
Effective Gross Revenue			
Gross Revenue	3,836,304	9,327,622	9,341,139
General Vacancy and Credit Loss	(11,063)	(19,060)	(28,674)
Total Effective Gross Revenue	3,825,241	9,308,533	9,312,466
OPERATING EXPENSES			
Controllable			
Repairs and Maintenance	56,628	121,119	123,541
Contract Services	36,299	93,007	99,369
Turnover	71,781	120,802	133,121
Administrative	45,165	98,988	100,968
Advertising and Marketing	104,715	127,189	87,860
Payroll	277,667	604,830	607,031
Utilities	174,232	348,601	386,858
Fixed			
Property Taxes	495,794	1,500,000	1,520,000
Insurance	107,482	234,825	238,739
Property Management	112,355	274,599	279,374
Total Operating Expenses	1,482,117	3,523,962	3,576,861
NET OPERATING INCOME	**2,343,125**	**5,784,572**	**5,735,604**

PRO FORMA

THE FOLES
Unlevered Cash Flow

East Lang Ellis

Period	Growth Assumptions	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10	Residual
REVENUE												
Rental Revenue												
Gross Potential Rent	3.50%	9,892,396	10,238,630	10,596,982	10,967,876	11,351,752	11,749,063	12,160,280	12,585,890	13,026,396	13,482,320	13,954,201
Loss-to-Lease	1.50% of GPR	(148,386)	(153,579)	(158,955)	(164,518)	(170,276)	(176,236)	(182,404)	(188,788)	(195,396)	(202,235)	(209,313)
Actual Vacancy & Credit Loss	4.00% of GPR	(395,696)	(409,545)	(423,879)	(438,715)	(454,070)	(469,963)	(486,411)	(503,436)	(521,056)	(539,293)	(558,168)
Concessions	See Notes [1]	(197,848)	(102,386)	-	-	-	-	-	-	-	-	-
Total Rental Revenue		9,150,466	9,573,119	10,014,148	10,364,643	10,727,405	11,102,865	11,491,465	11,893,666	12,309,944	12,740,793	13,186,720
Other Income												
RUBS	See Notes [2]	263,055	270,947	279,075	287,447	296,071	304,953	314,101	323,524	333,230	343,227	353,524
Other Income	See Notes [3]	140,307	144,516	148,851	153,317	157,916	162,654	167,533	172,559	177,736	183,068	188,560
Storage Income	3.00%	176,130	181,414	186,856	192,462	198,236	204,183	210,308	216,618	223,116	229,810	236,704
Parking Income	3.00%	333,720	343,732	354,044	364,665	375,605	386,873	398,479	410,434	422,747	435,429	448,492
Total Other Income		913,212	940,608	968,826	997,891	1,027,828	1,058,663	1,090,422	1,123,135	1,156,829	1,191,534	1,227,280
Effective Gross Revenue												
Gross Revenue		10,063,678	10,513,727	10,982,974	11,362,534	11,755,233	12,161,527	12,581,887	13,016,801	13,466,774	13,932,327	14,414,000
General Vacancy and Credit Loss	0.25% of GPR	(24,731)	(25,597)	(26,492)	(27,420)	(28,379)	(29,373)	(30,401)	(31,465)	(32,566)	(33,706)	(34,886)
Total Effective Gross Revenue		10,038,947	10,488,130	10,956,481	11,335,114	11,726,854	12,132,155	12,551,487	12,985,337	13,434,208	13,898,621	14,379,115
OPERATING EXPENSES												
Controllable												
Repairs and Maintenance	3.00%	127,247	131,065	134,997	139,047	143,218	147,515	151,940	156,498	161,193	166,029	171,010
Contract Services	3.00%	102,350	105,420	108,583	111,841	115,196	118,652	122,211	125,878	129,654	133,544	137,550
Turnover	3.00%	137,115	141,228	145,465	149,829	154,324	158,953	163,722	168,634	173,693	178,903	184,271
Administrative	3.00%	103,997	107,117	110,331	113,640	117,050	120,561	124,178	127,903	131,740	135,693	139,763
Advertising and Marketing	3.00%	90,496	93,210	96,007	98,887	101,854	104,909	108,056	111,298	114,637	118,076	121,619
Payroll	3.00%	625,242	644,000	663,320	683,219	703,716	724,827	746,572	768,969	792,038	815,800	840,274
Utilities	3.00%	398,464	410,418	422,730	435,412	448,474	461,929	475,787	490,060	504,762	519,905	535,502
Fixed												
Property Taxes	See Notes [4]	1,687,016	1,720,756	1,755,171	1,790,275	1,826,080	1,862,602	1,899,854	1,937,851	1,976,608	2,016,140	2,056,463
Insurance	2.00%	243,514	248,384	253,352	258,419	263,587	268,859	274,236	279,721	285,315	291,022	296,842
Property Management	3.00% of EGR	301,168	314,644	328,694	340,053	351,806	363,965	376,545	389,560	403,026	416,959	431,373
Total Operating Expenses		**3,816,609**	**3,916,242**	**4,018,649**	**4,120,622**	**4,225,304**	**4,332,771**	**4,443,101**	**4,556,372**	**4,672,667**	**4,792,069**	**4,914,666**
NET OPERATING INCOME		**6,222,338**	**6,571,888**	**6,937,832**	**7,214,492**	**7,501,550**	**7,799,383**	**8,108,386**	**8,428,964**	**8,761,541**	**9,106,551**	**9,464,449**

Notes
1. Concessions ae 2% of GPR in year 1, 1% in year 2, and 0% thereafter.
2. Ownership currently charges a flat fee that ranges from $50 - $100. Assumes a 3% annual growth.
3. Includes pet fees, late rent fees, application fees, amenity rental, damages, and lease termination fees. Assumes a 3% annual growth.
4. 1.6% current mill rate. Assumes 2% growth rate.

NOT INCLUDED FOR THIS CASE STUDY

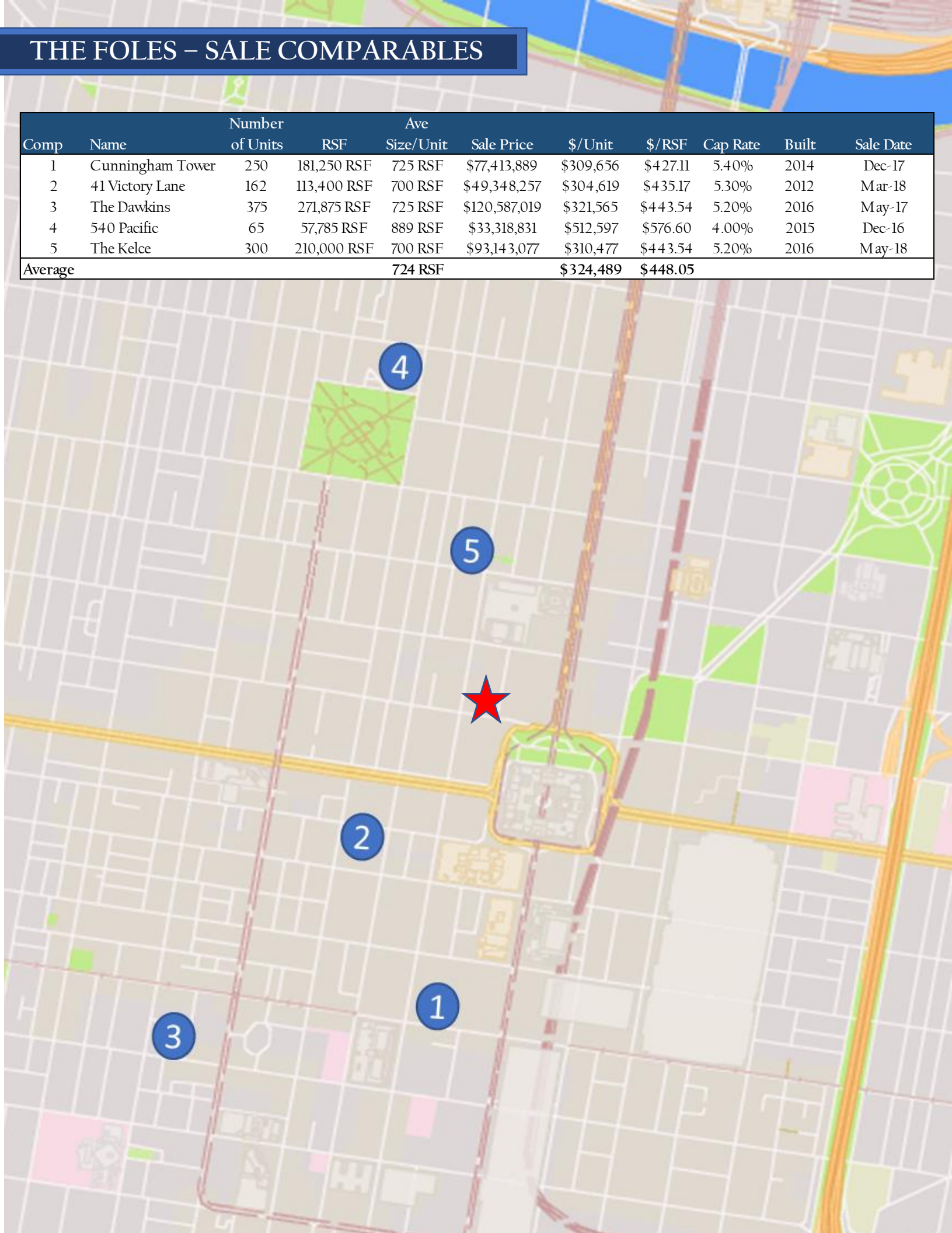
LOCATION OVERVIEW

SELECT CONTENT INCLUDED FOR THIS CASE STUDY

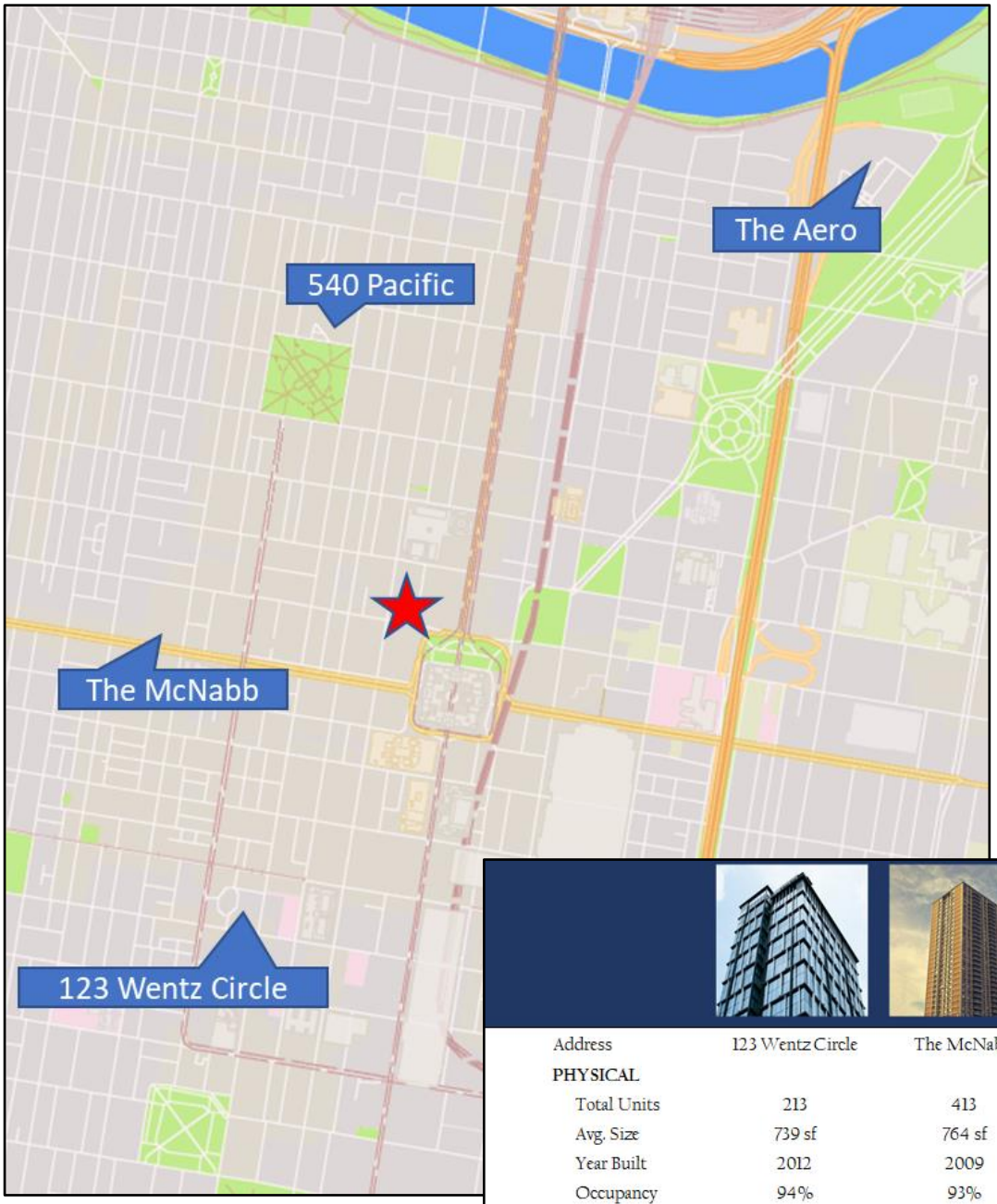
MARKET OVERVIEW

THE FOLES – SALE COMPARABLES

Comp	Name	Number of Units	RSF	Ave Size/Unit	Sale Price	$/Unit	$/RSF	Cap Rate	Built	Sale Date
1	Cunningham Tower	250	181,250 RSF	725 RSF	$77,413,889	$309,656	$427.11	5.40%	2014	Dec-17
2	41 Victory Lane	162	113,400 RSF	700 RSF	$49,348,257	$304,619	$435.17	5.30%	2012	Mar-18
3	The Dawkins	375	271,875 RSF	725 RSF	$120,587,019	$321,565	$443.54	5.20%	2016	May-17
4	540 Pacific	65	57,785 RSF	889 RSF	$33,318,831	$512,597	$576.60	4.00%	2015	Dec-16
5	The Kelce	300	210,000 RSF	700 RSF	$93,143,077	$310,477	$443.54	5.20%	2016	May-18
Average				724 RSF		$324,489	$448.05			



THE FOLES – RENT COMPARABLES





	Address	123 Wentz Circle	The McNabb	540 Pacific	The Aero
	PHYSICAL				
	Total Units	213	413	65	330
	Avg. Size	739 sf	764 sf	889 sf	805 sf
	Year Built	2012	2009	2016	2013
	Occupancy	94%	93%	98%	96%
	ECONOMICS				
Studio	Asking Rent	$1,783	$1,678	$2,034	$1,860
	per SF	$3.10	$3.05	$3.39	$3.10
1 Bed	Asking Rent	$2,333	$2,219	$2,865	$2,336
	per SF	$3.07	$3.06	$3.37	$3.05
2 Bed	Asking Rent	$2,593	$2,480	$3,468	$2,627
	per SF	$3.05	$3.10	$3.65	$3.09
3 Bed	Asking Rent	N/A	$2,803	$4,608	$3,090
	per SF	N/A	$2.95	$3.84	$3.09
Ave	Asking Rent	$2,269	$2,321	$3,150	$2,479
	per SF	$3.07	$3.04	$3.54	$3.08
	Concessions	4 Weeks	4 Weeks	4 Weeks	4 Weeks

Trey Fishman
Managing Director
tfishman@eastlangellis.com
215.567.8999
Lic. 12546855

Paige Gordon
Director
pgordon@eastlangellis.com
215.567.9028
Lic. 12436854

Edward McCready
Director
emccready@eastlangellis.com
215.567.5687
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Associate
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215.567.8902
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